Fermi America (FRMI) — Earnings Update

3Q26 | 12 November 2026 | Pre-call version

Josh, earnings desk

Pre-call version — transcript not yet available; management tone and Q&A not reflected. 3Q 10-Q not yet filed: going-concern language, facility detail, Keystone and Texas Tech status pending. Sources: 8-K exhibits 99.1 (release) and 99.2 (presentation) of 12 November, 2Q26 10-Q, 9 November preview. Four quarters of public history (IPO October 2025).

1 Executive snapshot

Consensus thesis: Brokers rate Fermi a Buy as an option on scarce Texas power assets and a signed TensorWave lease; at ~$1.6-1.8 before results the tape priced distress or heavy dilution (Provisional); shares rose ~17% pre-market on the hyperscaler news.

Thesis status: Weakening | **Versus expectations:** Quarter: miss (EPS -$0.22 vs about -$0.06 to -$0.09; stock-based G&A). Outlook: no guidance; power pipeline restated (600 MW in 2027, all for one hyperscaler).

Biggest changes

- TensorWave lease and AMD credit support terminated (release). The anchor of the bull case is gone.
- Replacement: an unnamed investment-grade hyperscaler for 600 MW from 2027, with a $200mn prepayment agreement, a $15mn early-works agreement and a $90mn steel purchase still being finalized; no definitive lease.
- Cash $315.5mn incl. restricted (from $91.7mn) after the $431mn convert; debt (net of issuance costs) $958.4mn; burn ~$188mn a quarter (operating ~$54.5mn, about double the 1H pace, plus PP&E ~$133mn) gives under two quarters of runway before the prepayment (our calc).
- Loss jumped to $141.6mn from $25.8mn, mostly non-cash: $65.8mn stock comp and $21.5mn of advisory fees paid in stock.
- 31 December deadlines (Keystone prepayment trigger, Texas Tech notice to proceed) not updated; F-class EPC still in negotiation; Hillcore BOOT framework (up to ~2.6 GW, $0 Fermi capex) still shown, definitive documents not confirmed.

Investor takeaway: The consensus view should move from 'a signed lease waiting for financing' to 'an unsigned hyperscaler LOI racing a cash clock': tenant quality and scale improved, but nothing is yet binding and credit quality weakens until a definitive lease and project debt exist.

What to monitor next quarter

- Definitive lease with the hyperscaler (term, rent, credit support) and whether it satisfies Keystone and Texas Tech by 31 December.
- Receipt and refundability of the $200mn prepayment.
- 3Q 10-Q: going-concern language, MUFG syndication, EPC award for the F-class units.

2 Key changes this quarter

Pillar scorecard

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 TensorWave closes	Lease becomes the financing template	Lease and AMD credit support terminated	Broken	8-K ex. 99.1
P2 Funding without wipe-out	Project debt and partners fund construction	Cash $315.5mn; no lender named; $200mn prepayment agreed, timing unstated	Unresolved	Ex. 99.1, 99.2
P3 Hard-asset floor	PP&E, turbines, permits support value	Net PP&E $1.67bn; $6.9mn CIP write-off (9M); no impairment; market cap ~$1.2bn	Confirmed (for now)	Ex. 99.1
P4 Power timeline	First 210 MW by 1 July 2027; 640 MW by 4Q27 (2Q call, per preview)	No first-power date; 600 MW in 2027; F-class EPC not awarded	Challenged	Ex. 99.2
P5 Strategic optionality	A sale could crystallize value	No review disclosed; directors held over; founder dispute	Unresolved	8-K 4 Nov

Emphasized more: investment-grade hyperscaler, 'speed to power', owned gas generation (2,000 MW) and a 2027-2029 power ramp. **Less or dropped:** TensorWave and AMD; the 1 July 2027 first-power date (per preview). **KPIs more important:** cash runway, prepayment receipts, EPC award dates. **Risks up:** tenant concentration (one unnamed tenant for all 2027 power). **Down:** tenant credit quality.

→ A single investment-grade tenant for 600 MW is a better financing base than TensorWave was, but until it signs a lease, lenders have nothing to lend against.

Analyst focus (Trevor)

Pending transcript: no public transcript as of ~10:00 a.m. ET. Press reports Cantor reiterating Overweight and Evercore ISI Buy (Investing.com, single source). Trevor's watch-list will be built on the post-call rerun; the analyst pressing hardest on funding will be added. — Trevor

3 KPI dashboard

Metric ($mn unless stated)	3Q26	2Q26	3Q25	Flag	Trend
Revenue	0	0	0	[~]	Pre-revenue
Operating loss (G&A)	142.2	26.8	n.a.	[↓]	Stock comp $65.8mn
Net loss / EPS	141.6 / -$0.22	25.8 / -$0.04	n.a.	[↓]	
PP&E additions	133.4	185.0	n.a.	[~]	9M $759.5mn
Operating cash burn	~54.5	~28 avg (1H $56.0)	n.a.	[↓]	About doubled; 9M less 6M
Cash + restricted	286.3 + 29.2	62.5 + 29.2	n.a.	[↑]	Convert proceeds
Debt, net	958.4	520.1	n.a.	[↓]	+$431mn convert
Net PP&E	1,669.6	1,547.9	n.a.	[↑]	
Shares outstanding (mn)	646.1	638.1	n.a.	[↓]	+1.3%
Power energized (MW)	0	0	0	[~]	2027 plan 600 MW
Contracted MW	0 (600 MW pre-lease)	0 (TensorWave 222 MW signed Aug, terminated Nov)	0	[?]	No definitive lease

Flags: for cost, debt and dilution lines [↓] means worse for shareholders. Sources: 8-K ex. 99.1 (12 November), 2Q26 10-Q. 3Q25 not meaningful (pre-IPO).

Debt by facility (30 September balances approximate, from presentation; terms from 2Q 10-Q and 16 October 8-K)

Facility	Balance	Rate	Maturity	Note
MUFG turbine warehouse	~445	SOFR+4.0%	10 Aug 2027	400 MW covenant waived 16 Oct; $25mn fee
Keystone high voltage	~92	12.9%	n.d.	Prepayment if no approved customer by 31 Dec
CLMG turbine warehouse II	~32	12.0%	~Dec 2028	
5.00% converts	431.25	5.0%	15 Jul 2031	Conversion ~$9.52

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
First power	No date given	Withdrawn (was 210 MW on 1 July 2027)	n.a.	Pending call	Pending transcript
2027 power	600 MW, all reserved for hyperscaler	New	n.a.	Speed to power	Pending
2028 / 2029 power	1,332 / 2,000 MW	New	n.a.		
Revenue start	Not restated	n.a.	FY27 consensus stale		

Underlying economic performance: **not yet measurable**. Operating cash burn about doubled to ~$54.5mn a quarter (1H was $56.0mn in total); most of the GAAP loss jump is non-cash stock payments.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power assets	Strong on paper	~	2.2 GW incl. 200 MW Xcel; three FR6B units on site	Scarce, but not yet energized
Permitting and land	At risk	↓	Texas Tech notice to proceed due 31 Dec, no extension disclosed	Core asset depends on a lease by year-end
Tenant quality	Improved, unsigned	↑?	IG hyperscaler 600 MW vs TensorWave 222 MW	Bankable once signed
Cost of capital	High	~	12-13% secured; 5% convert	Equity bears the gap
Execution	Weak	↓	Timeline withdrawn; EPC not awarded; Hillcore documents unconfirmed	Delivery credibility low

5-10 year view: if a hyperscaler signs, Matador becomes one of the few multi-GW behind-the-meter gas campuses with land and permits; without a lease by 31 December, the land rights and the secured debt both come under pressure.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Tenant / lease	TensorWave lapsed	Terminated; IG hyperscaler not yet signed	~	Binary on signing
Liquidity	Substantial doubt (2Q)	$315.5mn; <2 quarters runway (our calc)	~	Prepayment or dilution needed
31 Dec deadlines	Open	Not updated in release	Up	Keystone prepayment; Texas Tech termination right
Refinancing	MUFG Aug 2027	Waiver, no extension	~	Secured debt ahead of convert
Governance and probes	Founder dispute; EDNY, SEC	Directors held over; breach alleged	Up	Distraction; sale pressure
Construction	Timeline doubted	Date withdrawn; EPC pending	Up	Tenant may demand penalties

Concern → response → evidence

Concern	Response	Evidence
Lease without financing never closes	Hyperscaler brings prepayment and its own credit	$200mn prepayment agreed; no lease, no lender
Runway	Customer capital and project debt	Cash $315.5mn; no new facility
Timeline credibility	Speed to power is the edge	600 MW in 2027 but no first-power date

7 Capital, funding and per-share impact

Period	PP&E additions	Op. cash burn	Funding gap	Debt raised	Equity raised	Prepay	Debt, net	Shares (mn)
3Q26	133.4	~54.5	~188	Convert 431.25	Stock-paid fees $21.5mn	Agreed $200mn, not shown	958.4	646.1
2Q26	185.0	n.a.	n.a.	n.a.	n.a.	0	520.1	638.1

$mn. Funding gap = PP&E additions plus operating burn (our calc). The 2Q 10-Q put 12-month Phase 0-1 capex at about $2bn, possibly over $3bn.

What the next dollar costs: secured equipment debt at 12-13%; the convert at 5% is the cheapest paper but sits behind ~$570mn of secured loans. Maturities in 24 months: MUFG ~$445mn (August 2027). Per-share: market cap ~$1.16bn at $2.11 pre-market on 12 November (GuruFocus, ~7:00 a.m. ET; ~$1.81 on 11 November, derived) against book PP&E $1.67bn.

→ A signed IG lease would let Fermi raise project debt at a fraction of 12%; without it, the next dollar is equity at a depressed price.

8 Monitoring checklist

Five signals

- Definitive hyperscaler lease (term, rent per kW-month, credit support).
- Cash receipt of the $200mn prepayment and its refund terms.
- Keystone and Texas Tech status at 31 December.
- F-class EPC award and a restated first-power date.
- Going-concern language in the 3Q 10-Q.

Key risks building: deadline cliff on 31 December; single-tenant dependence. **Confirmation:** signed lease plus project-debt term sheet. **Tripwires:** Texas Tech termination notice; Keystone prepayment demanded; equity raise below $2.

Questions for the call

Question	Why it matters
The release lists a $200mn prepayment agreement with the hyperscaler but no lease. When is the cash due, is it refundable if no lease is signed, and is it conditional on a first-power date?	Liquidity and P2 (credit)
Does the hyperscaler agreement count as an 'approved customer agreement' for Keystone and a 200 MW Phase 1 lease for Texas Tech before 31 December? If not, are waivers agreed?	Secured debt and land rights (credit)
Cash was $315.5mn and burn about $188mn last quarter. How many months of runway, and is an equity raise planned before the lease signs?	Dilution
The first-power date of 1 July 2027 is no longer in the materials. What is the date for the first MW to the hyperscaler, and when is the F-class EPC awarded?	P4 and management credibility
Why were TensorWave and AMD terminated rather than extended, and were any fees paid or received?	Read on tenant economics
Is the board running a sale or strategic review after the 30 October vote, and what is the status of the EDNY and SEC requests?	P5 and governance

Read-across for Kona

Fermi swapped a signed lease with a neocloud and vendor credit support for an unsigned investment-grade hyperscaler offering a prepayment: hyperscalers will pay early to reserve behind-the-meter power, but lenders lend on leases, not letters. Kona should treat a tenant prepayment as bridge capital only, avoid land or loan deadlines that depend on a lease date it does not control, and contract the power plant (EPC, turbines) before promising first-power dates.